ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 02 - HOW TO MITIGATE LOSING TRADES EFFECTIVELY

INTRODUCTION TO EFFECTIVE LOSING TRADE MITIGATION

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This teaching focuses on how to mitigate losing trades effectively within the ICT Mentorship Core Content - Month 02. We will revisit a sample of price action, applying a different perspective assuming we were studying this asset class.

Our standard market markup involves:

- Setting up the market

- Framing risk and reward multiples

- Identifying a bullish order block and its mean threshold

- Pinpointing a hypothetical long entry on a secondary bullish order block

INITIAL TRADE SCENARIO: TAKING A LOSS

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Assuming we saw a down candle supporting the idea of buying or recapitalization, and we took a long position. Understanding the mean threshold, we generally do not like to see the middle of a down candle on a bullish order block violated. For new traders, there's a tendency to place a stop loss just below this mean threshold. While normally acceptable, let's assume this stop loss was triggered, resulting in a full loss.

What would you do in this scenario if you were stopped out, incurring a full 2 percent loss (or more, if taking higher risks)? It is crucial to manage risk responsibly; we do not need to take huge risks or many trades, but losing trades are inevitable. This scenario assumes a stop loss placed 'a little too close' to the market, leading to a full stop out.

If a long position with a stop below the mean threshold was hit, assuming a maximum risk of two percent, we must re-evaluate the trade. Just because the initial attempt was stopped out below the mean threshold, it doesn't mean the trade is completely unviable, especially if the underlying directional premise remains strong. It often means the stop loss placement was inaccurate.

Now, we look for a new order block that forms. For example, a new down candle where price trades away from it (above it) authorizes any future return to this down candle as a buying opportunity. When the market comes back down into this new order block, we can take another long position.

When re-entering, allow for a bit more movement against the position. Do not be obsessed with an ultra-tight stop loss this time. The stop loss will be placed below the order block around which the trade is framed. For instance, if the market created a down candle, showed a willingness to run off support of a previous bullish order block, and then returned, we would aim to buy at the top of that candle.

Crucially, we go long with one half of the position size used on the initial loss:

- If the initial loss was two percent, the re-entry risk is one percent.

- If the initial loss was one percent, the re-entry risk is one half of one percent.

Entries can be defined by the opening or top of the down candle, with the stop loss below the candle's low. The primary principle is using half the leverage and position size of the initial losing trade.

With the new, reduced-risk trade, we refer back to the original trade idea and frame for potential upside:

- If one percent is at risk (defined by entry and stop), reaching a price point equivalent to that risk means one percent return (R1). This means half of the initial loss is recovered in open profit.

- Achieving a second standard deviation from the defined risk (R2) means the initial two percent losing trade is fully mitigated. The entire loss is recouped.

At R2, especially for new traders, consider taking the trade off. It is often beneficial to get back to even, relax, and regroup. If it is late in the week (Thursday or Friday) and the market presents an opportunity to recover a full stop out, take it. Close the week flat to avoid going into the weekend with a net loss. Erase errors when the market allows, as there is no guarantee price will continue higher.

Notice that mitigating the initial two percent loss does not even require the market to trade above the old highs where buy stops reside. The full initial loss can be mitigated before objectives are fully met.

If you choose to allow the position to run past R2 (mitigation point), this is where you want to trail the stop loss. The stop loss should be moved up to prevent losing back below the open profit that mitigated the two percent loss. Lock in the recovery of the drawdown. Do not permit the market to return against you and take away the gains that covered your previous loss.

Once a multiple of R3 is achieved, in ICT's opinion, this is an ideal point to take profits and square off the position. Whether taking profits at R2 (full mitigation) or R3 (net gain), the principle remains: you only need a multiple of R2 to get your initial loss paid back, even with reduced leverage. Many opportunities exist throughout the week for 3-to-1 or 5-to-1 trades, making losses easy to recover with focus and patience, without increasing risk.

Once the market provides R2 (mitigation of initial loss), lock it in. As a developing trader, initially, you want to simply take it off the table and be thankful for recovering the loss. Train yourself to recognize: 'I fixed my error, corrected the drawdown, now I move to the sidelines and start fresh.'

As you grow, the next stage is to lock in your stop loss after the loss is mitigated, then see if the market has more room to run. If you allow the market to run and mitigate your two percent loss at an R2 multiple with one percent risk, you now achieve a one percent net gain, resulting in a new equity high, all within the context of managing a single setup where you might have initially made an error.

Often, initial losses stem from aggressive stop loss placement or being slightly early. There is no reason to fear re-entering a trade that still aligns with your directional premise, especially by reducing leverage and total risk by half.

Consider a 'Devil's Advocate' scenario: if you bought at the first order block, used the mean threshold as a stop, and got stopped out. Then, you re-entered on the next down candle, but again used an ultra-short stop loss near the middle of the candle, and were stopped out or scared out.

If the initial trade was a two percent loss, and the second trade (at reduced risk of one percent) also resulted in a full loss, you would then drop down to one half of one percent risk for the next re-entry opportunity. This would involve another order block when price revisits it.

Even with this progressively reduced risk:

- One half of one percent return (R1)

- One percent return (R2)

- One and a half percent return (R3)

- Two percent return (R4)

In this example, even at one half of one percent risk, a run to R4 would have mitigated your initial two percent loss. Your total account might still be down a smaller amount (e.g., one percent), but the point is

that losses can be recovered. It doesn't have to be in one single trade, but it demonstrates the power of risk reduction.

The fundamental principle is Equity Preservation. We cannot know with absolute certainty that any trade will be profitable. Therefore, reducing leverage and risk after a losing trade is logical and prudent. Why would any trader not dial back their leverage after a loss?

- Increasing risk after a loss leads to 'throwing good money after bad' and 'toxic thinking'.

- It allows emotional distress to build, consuming mental capital and fostering fear-based trading.

- A new trader is highly unlikely to immediately make a winning trade after a loss due to the psychological pressure to 'get that loss back right away'.

It is not necessary to recover the loss on the very next trade, but this example illustrates that even a significant loss can be recovered without increasing risk. It requires patience and the discipline to scale back risk. If you keep trading at the same risk or increase it after a loss, you expose yourself to a potentially long string of losses, which can happen to anyone. This approach avoids deepening drawdowns and maintains a healthy, disciplined mindset.